BUSINESS MODELS & CONSUMER METRICS · DEEP-DIVE CASE

The $1.50 hot dog and the *$4.8 billion* secret

How Costco built one of the world's great businesses by refusing, almost everywhere, to make money.

COSTCO WHOLESALE | FY2024 | Prepared for Mesa School of Business

Costco moved about **$250 billion** of merchandise in FY2024 and kept roughly **2.9 cents** of profit on each dollar of it. Put that number in front of any founder and watch them flinch. A grocery start-up with a 2.9% net margin is a cry for help. Yet Costco is one of the most admired, most durable and most valuable retailers ever built, its members almost never leave, and it has compounded quietly for four decades. A business that barely profits on what it sells should not be this good. So the only interesting question is the one we asked in Session 1: *what is actually being sold here?*

$254B	$4.8B	92.9%	76.2M	~2.9%
TOTAL REVENUE, FY24	MEMBERSHIP FEES	RENEWAL, US & CANADA	PAID MEMBERSHIPS	NET MARGIN

01 The real product has a turnstile

Walk into a warehouse and you cannot buy a single thing until you have already paid. The card is the product. Basic membership is **$65 a year**, the Executive tier **$130**, both raised in September 2024 for the first time in seven years. That fee did two quiet, enormous things in FY2024. It brought in about **$4.8 billion**, and because renewing a membership costs Costco almost nothing, more than half of the company's entire operating profit came from fees rather than from selling anything at all.

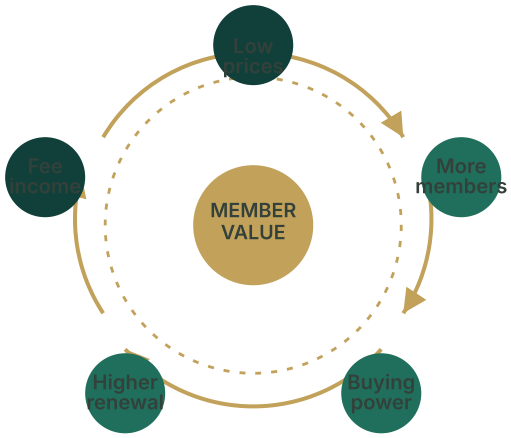
Once you see that, everything on the shelves starts to make sense. Costco deliberately keeps its markup thin, reportedly capped near **14 to 15 percent** where an ordinary retailer takes 25 to 50. It would rather hand the saving to the member than book the margin. The low price is not charity. It is the hook that makes the $65 feel obvious to pay again next year. The groceries are the bait. The membership is the business.

🌭 The hot dog that cannot be touched

The food-court hot dog and soda has cost **$1.50 since 1985**. Costco loses money on it on purpose. When an executive once suggested raising the price, founder Jim Sinegal reportedly told his successor, in rather stronger words, that if he touched the hot dog he would not survive it. It is a loss leader with a cult following, and it does one job beautifully: it makes the trip feel like a steal, every time.

02 The flywheel, drawn out

None of this works as a single clever trick. It works as a loop, and every arrow in the loop is a number you could put on a dashboard. Read it clockwise.



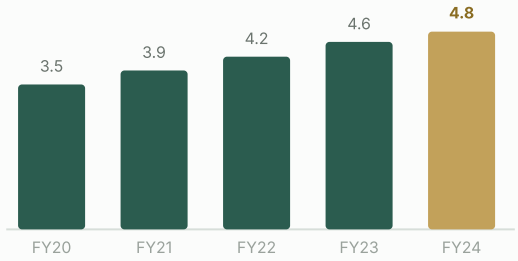
Low prices pull members in. Scale buys cheaper goods, which lowers prices further, which lifts renewal, which funds the whole thing. The centre is the only output that matters: value the member feels.

This is a business running **two revenue models at once**. The first is ordinary product sales: enormous volume, almost no margin. The second is a **subscription**, a fee that renews, carries close to 100 percent gross margin, and barely flinches in a downturn. The first engine exists mostly to feed the second. And the second behaves less like revenue and more like an *annuity*, which is exactly why the market prices Costco like a subscription company wearing a retailer's apron.

The fee line has only ever gone one way. It is dependable almost to the point of being boring, and boring, for an investor, is a compliment.

Membership fee income

US$ billions, fiscal years. The quiet compounder.



Fee income is recurring and near-pure margin. Source: Costco annual reports.

03 Fewer choices, lower prices

A normal supermarket carries more than **30,000** items. Costco carries about **4,000**. That sounds like a weakness and is actually the engine of the whole cost advantage. By stocking one giant pack of ketchup instead of twenty, Costco orders colossal volumes of each item and walks into every supplier negotiation holding the longest lever in retail. Fewer SKUs means more scale per SKU, which means lower cost, which means lower price.

It also makes the visit a *treasure hunt*. You came for toilet roll and left with a kayak, because the kayak might be gone next week. Scarcity and value, running together, pull members back often.



04 Your suppliers are your bank

Here is the move that finance students should frame. Costco sells its stock fast, often in under a month, but pays its suppliers later. So the member's cash arrives *before* the supplier's bill is due. The result is **negative working capital**: the inventory is effectively financed by the people who supplied it, and Costco gets to use that float. Most businesses sink cash into working capital as they grow. Costco grows and the cash position gets *better*. That is not an accident of scale, it is designed in.

READ IT LIKE AN ANALYST

If someone shows you only Costco's **gross margin on goods (~10.9%)** and calls it a weak retailer, they are reading the wrong line. The numbers that explain Costco are **renewal rate**, **paid-member growth** and **fee income**. At ~93% renewal, a member is not a sale. A member is a bond that keeps paying coupons.

> *"Costco grows, and its cash balance grows with it. Most retailers cannot say that."*
>
> The quiet superpower of a membership model with negative working capital.

Most retailers have a second, quieter P&L that shoppers never see: the money they charge their *suppliers*. Costco's most radical choice is how much of that money it leaves on the table.

05 So, does Costco charge placement fees?

Almost never, and that is the point. A typical supermarket charges brands a **slotting fee**, a payment simply to get a product onto the shelf, plus placement fees for the good spots at eye level. It is a large, high-margin income stream, and it quietly works against the shopper, because the brand that paid the most gets the space, not the brand that offers the best value. **Costco generally refuses slotting and placement fees.** A buyer earns its spot by being the best deal for the member, full stop. Costco would rather extract that value as a lower cost of goods, and pass it on, than book it as a fee that props up a worse price.

What suppliers usually pay a retailer	At a typical grocer	At Costco
Slotting fee (to be listed)	Common, often steep	Generally none
Placement / eye-level fee	Yes	No
Promo & flyer fees	Frequent	Minimal
What earns the shelf	Who pays most	Best value to member

Costco does charge for in-store demos, required testing and a few limited marketing programs, but not the big slotting rent that defines modern grocery.

06 The one place it is starting to say yes

There is a twist, and it is recent. In 2024 and 2025 Costco began building a small **retail media network**, using what it knows about member buying to run targeted campaigns for brands. But watch how carefully management frames it. Rivals treat retail media as a fat new high-margin revenue stream. Costco's CFO has gone out of his way to say it is *not* that, and that any money it makes will be reinvested into member value rather than booked as a shiny new margin line. Even when Costco finally charges brands, it points the proceeds straight back at the flywheel. That restraint is the strategy, not an accident of it.

Kirkland Signature

Costco's own label is now close to **a third of everything it sells**. It is often made in the same plants as the national brands, priced below them, and it quietly disciplines every supplier on the shelf next to it. Own-brand at this scale is a margin tool *and* a negotiating weapon.

The Executive tier

35.4M Executive members, under half the base, drive about **73%** of worldwide sales. They pay double the fee, get a 2% reward that keeps them spending, and renew at the highest rate of all. The best customers, paying more to spend more.

07 Reading Costco through the four lenses

- **Business model.** An inventory-led, membership-gated warehouse club. It owns the stock (principal, not agent), so it books the full value of goods, but it runs asset-light on choice, with a deliberately tiny range.
- **Revenue model.** Two engines. Thin-margin product sales, and a high-margin recurring membership fee that supplies most of the profit.
- **Stage.** Mature and cash-generative in the US, still in growth mode internationally and online. The model prints cash; the open question is how far it travels.
- **Metric tree.** Topline splits into members × renewal × spend per member, with fee income sitting on top. If you cannot place a Costco metric on that tree, you do not yet know why it matters.

GRADED ASSIGNMENT · SUBMIT BEFORE SESSION 2

Build the one-pager you would hand an investment committee

You have ten minutes with a partner who has never studied Costco. Put **one page** in front of them that lets them decide whether this is a business worth owning. It must contain, and only contain, what actually matters:

- **The model in two lines.** Business model and revenue model(s), and where the profit truly sits.
- **A metric tree, one level deep.** Revenue decomposed into its real drivers, with the three numbers you would track weekly circled, and one tempting metric you deliberately left off (say why).
- **The one chart** that proves the thesis. You pick it. Defend why that chart and not another.
- **The bear case, in three lines.** What would have to break for this to be a bad investment?

What good looks like: no adjectives, no story without a number behind it, and a reader who finishes the page knowing exactly which metric to watch next quarter.

Q Discussion questions

#	Think, then defend out loud
1	Costco books the *full* value of goods as revenue but keeps almost none of it. A marketplace books only its commission. Both are "right." How does each choice change the way you read the topline, and the margin?
2	Why does refusing slotting fees make Costco *more* money in the long run, not less? Trace it through the flywheel.
3	Costco's retail media network could be a high-margin goldmine. Management is deliberately underplaying it. Is that discipline, or is it leaving money on the table? Argue either side.
4	Hand someone Costco's P&L with the name blanked out. What two lines in the cost structure give the model away?
5	Would this model work in India? State what would have to be true about incomes, basket size, store density and trust for the membership to renew. If you think it cannot, say what breaks.

ONE LINE TO CARRY OUT OF THIS

Costco makes its money by refusing to make money on the one thing everyone assumes is the business. **Find what is really being sold, and the right metric stops hiding.**

Figures from Costco Wholesale FY2024 results (fiscal year ended 1 September 2024): total revenue ~$254B, net sales ~$250B, membership fee income ~$4.8B, operating income ~$9.3B, gross margin ~10.9%, 76.2M paid household memberships, 35.4M Executive members (~73.3% of worldwide sales), US/Canada renewal 92.9%. Membership pricing effective 1 September 2024. Fee-income history and the ~14 to 15% markup range, ~4,000 SKU count, Kirkland's ~one-third share and the negative-working-capital dynamic are drawn from Costco filings and widely reported analysis; markup and SKU figures are reported estimates, not disclosed line items. Sources: Costco FY2024 10-K (SEC); Costco Q4 FY2024 earnings; MediaPost on Costco retail media (2025); Strata Finance and CPG-supplier analyses of Costco's buying model. Prepared as a teaching post-read, not investment advice.